

Company Overview

Canara Bank was merged with erstwhile Syndicate Bank in FY21.## Canara was incorporated in 1906 and nationalised in 1969, along with 13 other major commercial banks of India, by the GoI. The bank is headquartered in Bangalore.

Key Financial Ratios Table

Year	NPM %	ROE %	D/E	Interest Coverage	Asset Turnover	FCF (Cr)
2024	13.9%	16.7%	14.87	1.6	0.07	13296.0
2023	13.2%	14.5%	15.85	1.7	0.06	-41134.0
2022	8.7%	8.8%	16.19	1.7	0.06	-510.0
2021	4.2%	4.7%	17.00	1.9	0.06	58002.0
2020	-3.9%	-4.7%	16.22	2.3	0.07	-5734.0
2019	1.5%	1.8%	16.99	2.7	0.07	17492.0
2018	-9.4%	-10.5%	15.28	3.5	0.07	-11607.0
2017	3.4%	4.1%	15.42	2.0	0.07	2099.0
2016	-5.8%	-7.8%	15.63	3.4	0.08	8903.0
2015	6.7%	9.0%	15.37	2.2	0.08	5240.0

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Qualitative Investment Insights

Strengths (Pros):

- Revenue growing at above 15% CAGR over 5 years (18.2%) reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value

Risks & Concerns (Cons):

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility